
Where Should Activities Be Located?

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“People think China is cheap, but really, it’s fast.”

A Brief Writing Exercise

YOUR IB VOICE

EXPLAIN THE LOCATION

Fallows claims that neither a stronger Chinese currency nor an end to subsidies would move Shenzhen's work back to the United States. What holds production in the Pearl River Delta? Commit to one explanation and defend it with two details from the article.

10 minutes · Individual · Notes permitted

Keep your response. You will return to it in the closing discussion.

What holds production in the Pearl River Delta?

- **Wages:** labor is cheap.
- **Density:** suppliers and parts are minutes away.
- **Policy:** the zone, duty-free processing, the port.
- **Intermediaries:** people like Casey know where the factories are.
- **Flexible labor:** hands can be retasked faster than machines.

Which of these would survive a 30 percent rise in Chinese costs?



Shenzhen, 1980–2007

Shenzhen was a fishing town when the zone was declared

100x

population growth in about 25 years

A town of 70,000 to 80,000 people in 1980.

Roughly as populous as New York by 2007.

Other coastal centers tripled or quadrupled.

In late summer 1980 the government made Shenzhen a special economic zone: next to Hong Kong, far from Beijing.

The zone removed rules and sat beside a world port



Croquant, [Pearl River Delta Area](#), 2007 · Commons, CC BY 3.0.

Nearly every rule restricting business was changed or removed.

Processing zones: inputs in and exports out, free of duties.

Hong Kong's harbor and airport next door.

The first location advantages were made by policy: cheap to enter and cheap to ship.

One container left the delta every second



More than 40 million twenty-foot containers left Hong Kong and Shenzhen in 2006, and that was under half of China's exports.

Gigel.atat, [Yantian port from above](#), 2015 · Commons, CC BY-SA 4.0.

Foxconn's works occupies the space of a major airport



Lhzss8, [Foxconn Shenzhen campus](#), 2023 · Commons, CC BY-SA 4.0.

About 240,000 people work, sleep, and eat on the site.

Its caterers kill 3,000 pigs a day.

Guangdong may employ more factory workers than the entire United States.

Scale is the first thing a visitor notices and the last thing the statistics can pin down.

Shenzhen: policy opened the door, scale followed

The zone lowered the cost of entering and shipping.

Entry at scale produced something the policy did not design.

■ Hold the question of what that something is until we see who came.



— Three Flows Converge

Workers came from the countryside



Museum exhibit, 2017 · Woo King Tam gwiam, [Wikimedia Commons](#), CC BY-SA 4.0.

900 to 1,200 RMB a month,
about \$115 to \$155.

A farm family's cash income:
a few thousand RMB a year.

Twelve-hour shifts, six or
seven days a week.

Most arrive young, save, and many return home after two or three years.

Entrepreneurs came from Taiwan and built small firms

No. 206

Foxconn's rank on the Fortune Global 500, as China's largest exporter

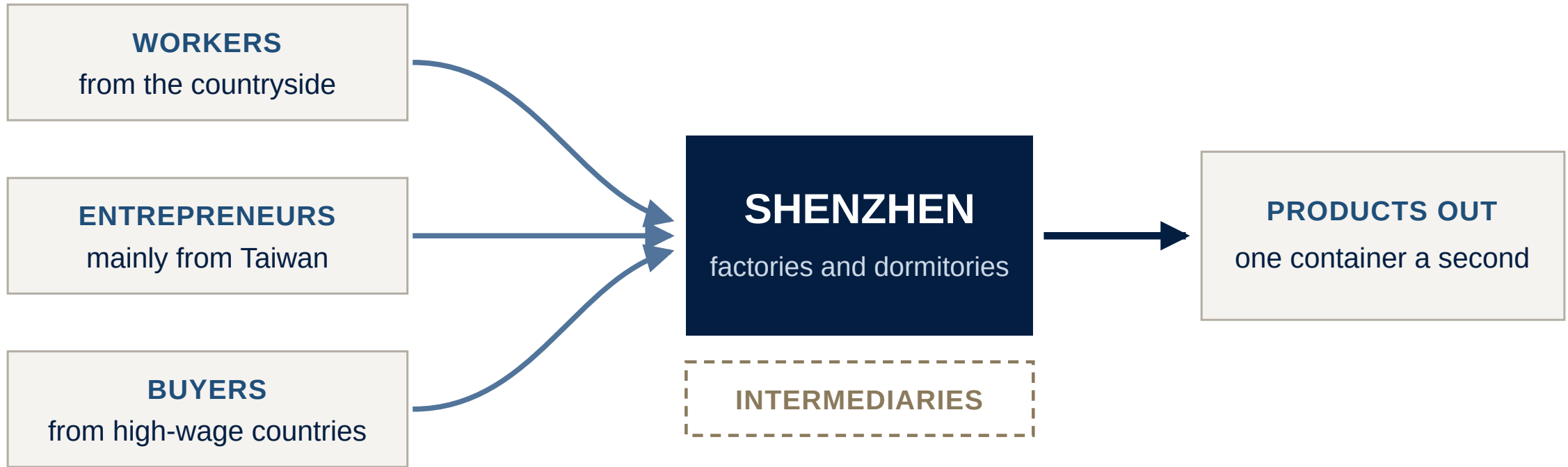
Thousands of small, family-owned exporters, on the Taiwan model.

Japan and Korea built national champions instead.

Foreign buyers “don't know where to start.”

Atomized supply is a problem for buyers and an opening for intermediaries.

Buyers came from high-wage countries to use the factories



The breakfast room at the Four Points: designers, engineers, and buyers meeting factory owners before the vans leave at nine.

Mr. China sells knowledge of the factories

PCH China Solutions

Set up near Shenzhen by 1997 by Liam Casey, from Cork.

800 employees; about \$125 million in sales.

A map of suppliers keyed by GPS: photos, drawings, travel times.

“Supply chain is intellectual property.”

■ Buyers guard the list of who makes what for whom; knowledge of the cluster is itself an asset.

Three flows: one pathway to a cluster

Workers, factory owners, and buyers each came because the others were already there.

Intermediaries turned a crowd of small firms into a usable supply base.

■ The next section shows what that supply base can do that a cheaper place cannot.



Why Fast Beats Cheap

Nine suppliers within a mile can fix a design in a day



Seven floors of components at the SEG market, and “nine different suppliers within a mile” who bring a sample that afternoon.

Bobbie Johnson, *Inside SEG Plaza*, 2010 · Commons, CC BY-SA 2.0.

People are the most adaptable machines



Steve Jurvetson, [Electronics factory in Shenzhen](#), 2005 · Commons, CC BY 2.0.

More hands and fewer robots than in rich-country plants.

“You can have people doing something entirely different next week.”

Automation goes to what is too delicate for hands, not too expensive.

Low wages make flexibility affordable; flexibility is what buyers pay for.

Five Taiwanese firms make most of the world's laptops

90%

of brand-name laptops built by Quanta, Compal, Inventec, Wistron, or Asustek in mainland China

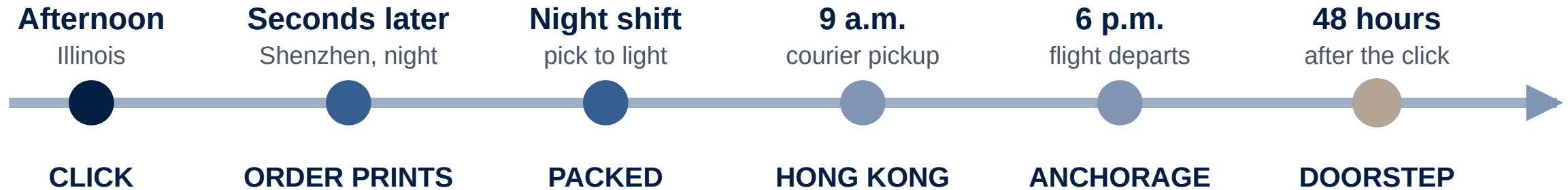
Inventec, Shanghai: 30,000 notebooks a day.

Drives from Taiwan or Singapore, screens from Korea or Japan.

Three rival brands on one line.

■ The cluster pulls inputs from across Asia and serves every brand at once.

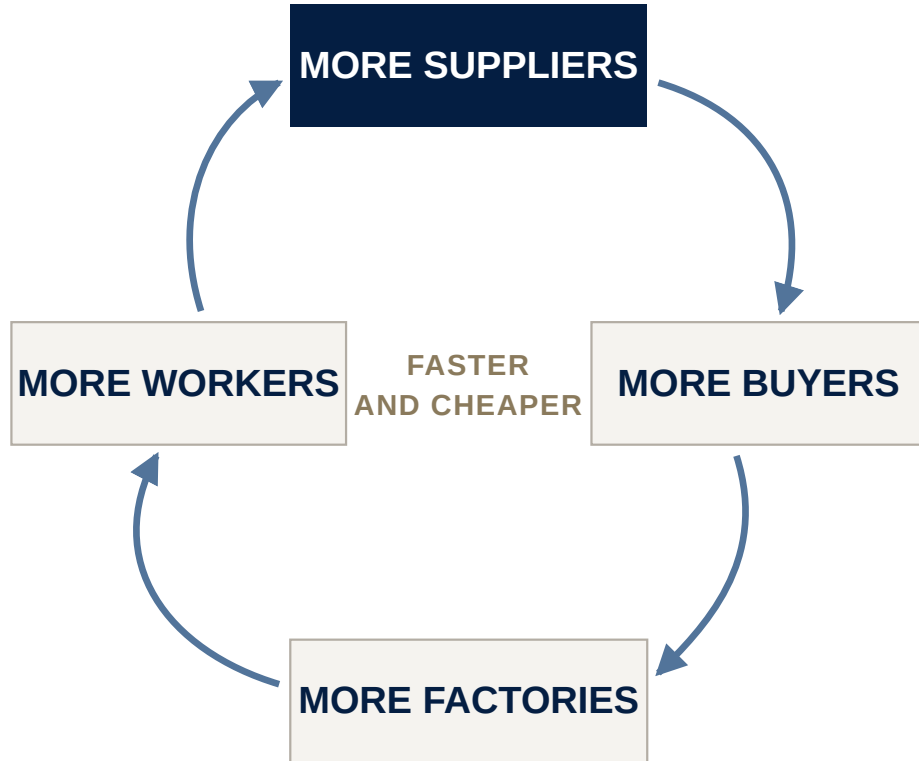
An order from Illinois ships from Shenzhen within 48 hours



The box carries a U.S. return address and a small MADE IN CHINA label.

■ Fulfillment moved to the cluster too; the twelve-hour time difference became an asset.

Agglomeration: firms gain from being near one another



Shared suppliers and parts within reach.
A pool of workers who already know the work.

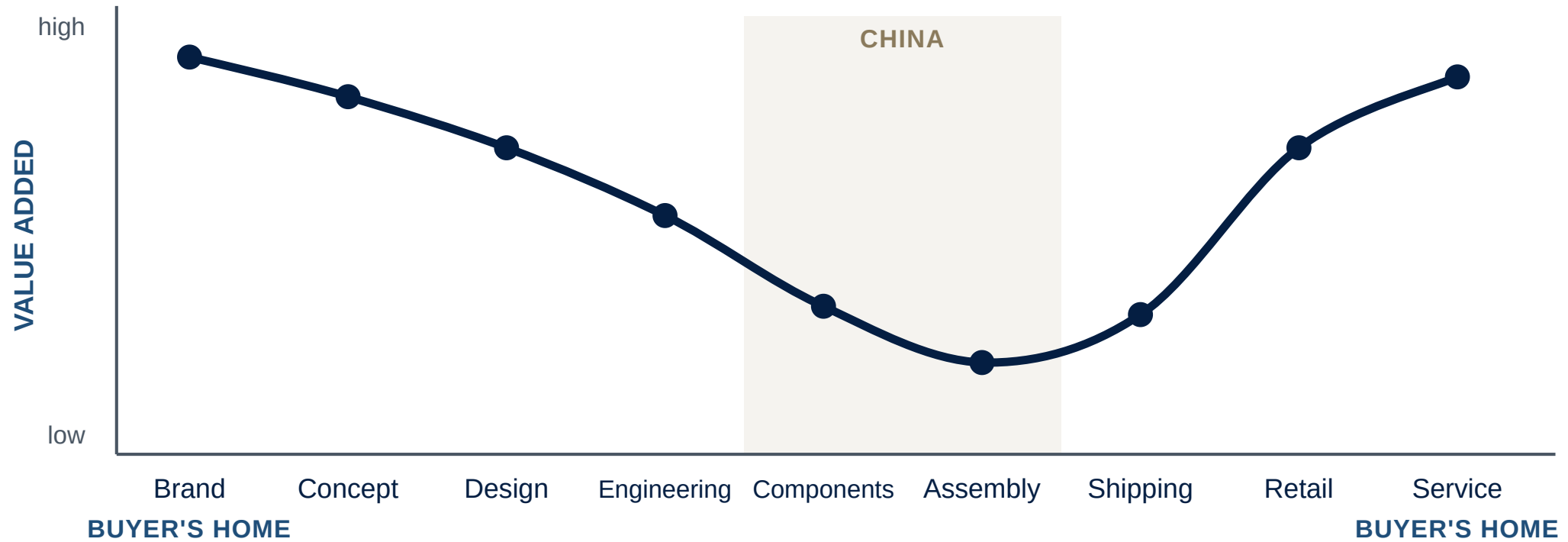
Knowledge that moves between firms and people.

Each arrival makes the next arrival more likely.

Agglomeration economies: cost and speed advantages that exist only because others are already there.

Who Captures the Value

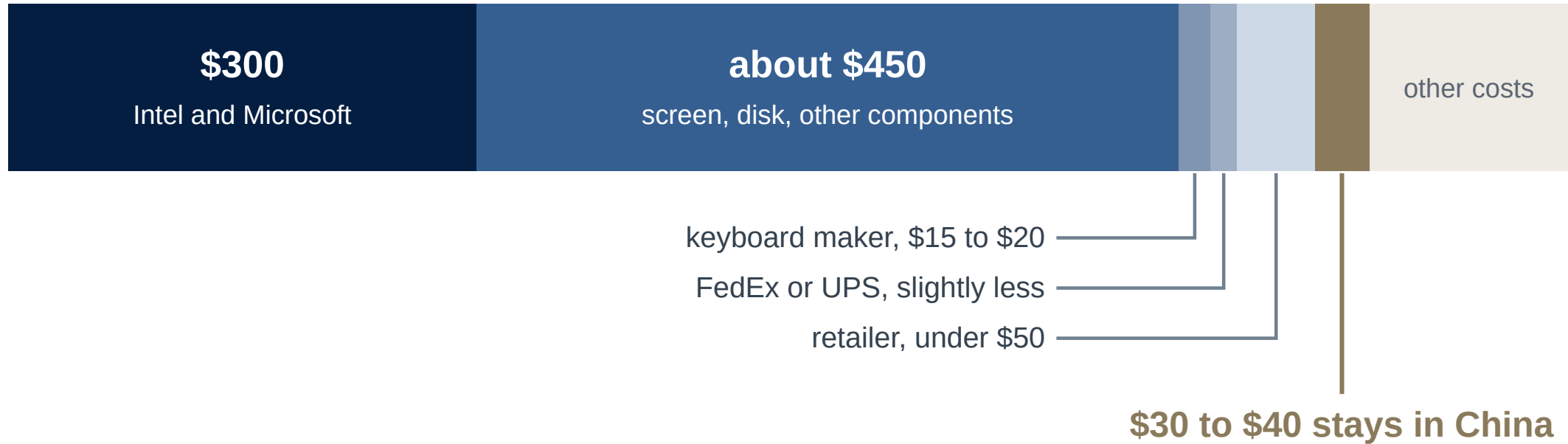
The smiley curve: value sits at the two ends



China's work sits in the middle. Brand, concept, design, retail, and service stay with the buyer.

A \$1,000 laptop leaves \$30 to \$40 in China

RETAIL PRICE \$1,000 · FACTORY MANAGER'S ESTIMATE · 1.4 PX PER DOLLAR



Chinese workers earning \$1,000 a year help American designers and retailers earning \$1,000 a week earn more.

The same cable sells at three prices and pays the maker \$2

RETAIL PRICE OF THE SAME CABLE · SCALE 14 PX PER DOLLAR



Remove every subsidy and \$2 becomes \$3 or \$4. The retail price barely moves, and the location does not.

Location dependence runs in both directions



Buyers depend on a cluster they cannot rebuild quickly; the cluster depends on brands that hold the value.

China is trying to climb the curve

- Intel: a chip plant in the north.
- Microsoft and Google: research centers in Beijing.
- PCH: design centers in Shenzhen.
- Shanghai: factories pushed out, design offices moved in.

■ The host wants to move up the curve; the buyer wants to keep the ends.

Map Your Industry's Cluster

Industry teams: locate one activity and explain why it is there

1. Choose one activity in your industry and name the place where it concentrates.
2. List what is co-located there: suppliers, workers, buyers, knowledge, logistics.
3. Mark which of those a rival location could copy in five years, and which it could not.
4. Prepare a 60-second explanation of the mechanism.

10 minutes · Industry teams · One annotated list or sketch

■ Name the mechanism, not just the country.

A currency change or a tariff raises the cost of your activity by 30 percent.

Does the activity move? Where would it go? Name what would have to be rebuilt in the new place and how long it would take.

3 minutes · Same teams · Add the answer in a second color

Why is your activity where it is, and what would be slowest to rebuild anywhere else?

6 minutes · Three reports, then one challenge from another team

The slowest thing to rebuild is what holds the activity in place.

Designed in California, assembled in China



The cluster holds the work. The brand holds the money.

Location is chosen for what is nearby; value is captured where the brand and the customers are.

Raimond Spekking, [iPhone 5s \(model A1457\)](#), 2021 · Commons, CC BY-SA 4.0, cropped.

What holds production in the Pearl River Delta, and would your answer change if wages there doubled?

The next plant has gone to Vietnam and India; the cluster mostly has not. Wednesday: how does a global firm hold together?